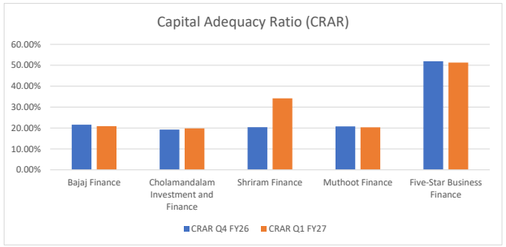
NBFC Peer Benchmarking Study

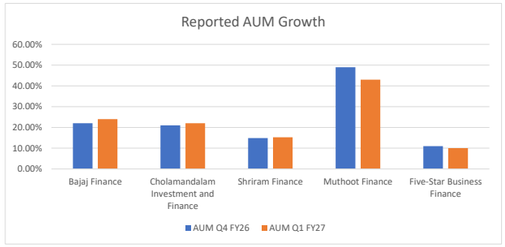
Q4 FY26

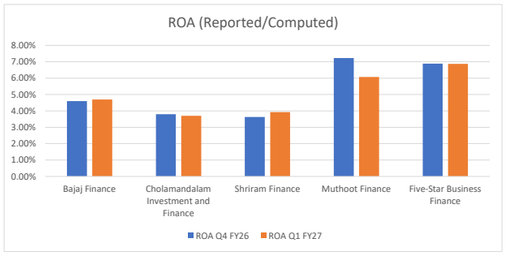
Company	GNPA / Stage 3 (%)	NNPA / Net Stage 3 (%)	CRAR (%)	AUM Growth (%)	ROA (%)	Cost of Funds (%)
Bajaj Finance	1.01%	0.41%	21.60%	22.00%	4.60%	7.41%
Cholamandalam Investment and Finance	4.36%	2.87%	19.21%	21.00%	3.80%	6.60%
Shriram Finance	4.58%	2.33%	20.40%	14.85%	3.63%	8.59%
Muthoot Finance	2.35%	2.04%	20.75%	49.00%	7.23%	8.58%
Five-Star Business Finance	3.37%	2.00%	51.89%	11.00%	6.89%	8.95%

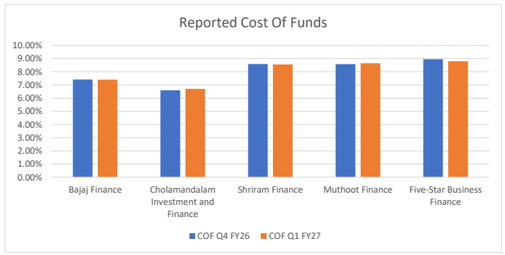
Q1 FY27

Company	GNPA / Stage 3 (%)	NNPA / Net Stage 3 (%)	CRAR (%)	AUM Growth (%)	ROA (%)	Cost of Funds (%)
Bajaj Finance	0.96%	0.39%	20.90%	24.00%	4.70%	7.40%
Cholamandalam Investment and Finance	4.50%	2.95%	19.81%	22.00%	3.70%	6.70%
Shriram Finance	4.64%	2.33%	34.17%	15.26%	3.93%	8.56%
Muthoot Finance	2.28%	1.99%	20.30%	43.00%	6.07%	8.65%
Five-Star Business Finance	3.46%	2.10%	51.25%	10.00%	6.87%	8.80%









Note: *Cost of funds is as reported where disclosed (book rate, cost of liabilities, or interest expense on average borrowings). Definitions are close but not identical. Shriram's figure comes from the Q2 FY27 earnings call.*

Quarter-on-quarter change (Q4 FY26 to Q1 FY27)

Company	GNPA	NNPA	CRAR	AUM growth	ROA	Cost Of Funds	Better Count
Bajaj Finance	better	better	worse	better	better	better	5
Cholamandalam Investment and Finance	worse	worse	better	better	worse	worse	2
Shriram Finance	worse	flat	better	better	better	better	4
Muthoot Finance	better	better	worse	worse	worse	worse	2
Five-Star Business Finance	worse	worse	worse	worse	worse	better	1

Key Findings:

Asset Quality

Asset quality was broadly stable between Q4 FY26 and Q1 FY27. Bajaj Finance has the lowest stressed assets in the peer set (GNPA 0.96%, NNPA 0.39%) and improved slightly. Muthoot Finance's Stage III ratios also improved (2.35% to 2.28% gross, 2.04% to 1.99% net). Cholamandalam (4.36% to 4.50%) and Five-Star (3.37% to 3.46%) saw GNPA rise slightly, and Shriram's Stage 3 ratio edged up from 4.58% to 4.64%. Shriram and Muthoot report Stage 3 measures, which may not be strictly equivalent to GNPA/NNPA.

Capital Adequacy

All five companies report CRAR well above the 15% regulatory minimum. Five-Star Business Finance is highest at 51.25% (standalone), down slightly from 51.89%. Shriram Finance's CRAR rose sharply from 20.40% to 34.17%. Bajaj (21.60% to 20.90%) and Muthoot (20.75% to 20.30%) edged lower, while Cholamandalam rose from 19.21% to 19.81%.

Growth

Muthoot Finance reports the highest AUM growth in the peer set at 43% year-on-year, down from 49% in Q4 FY26. Bajaj (22% to 24%) and Cholamandalam (21% to 22%) accelerated slightly, Shriram grew 15.26%, and Five-Star's growth slowed from 11% to 10%. On profitability, Muthoot's ROA fell 1.16 percentage points to 6.07%, the largest decline in the set, while Shriram's rose from 3.63% to 3.93%. Bajaj's Q4 FY26 ROA was 4.7% before one-time actions (4.60% as reported), so its Q1 FY27 figure of 4.70% is effectively flat.

Funding Cost

Reported cost of funds ranges from 6.70% (Cholamandalam) and 7.40% (Bajaj) at the low end to 8.56% (Shriram), 8.65% (Muthoot) and 8.80% (Five-Star) at the high end. Five-Star's cost fell by 15 basis points from 8.95%, while Cholamandalam's rose by 10 basis points. Definitions differ across companies (book rate, cost of liabilities, interest expense on average borrowings), so comparisons should be interpreted cautiously.eviewed.

Conclusion:

- This study compares five Indian NBFCs on asset quality, capital adequacy, growth, profitability and funding cost across Q4 FY26 and Q1 FY27.
- Bajaj Finance shows the most consistent picture: it has the lowest stressed assets (GNPA 0.96%) and improved on asset quality, growth, ROA and funding cost, with CRAR slightly lower.
- Shriram Finance improved on capital, growth, ROA and funding cost, though its Stage 3 ratio edged up.
- Muthoot Finance's asset quality improved, but its AUM growth and ROA both fell.
- Five-Star Business Finance holds the largest capital buffer (CRAR 51.25%) but shows slower growth and slightly higher stressed assets, and Cholamandalam's GNPA rose slightly.

Because definitions differ across companies and two quarters is a short window, the study describes direction of change and does not rank the companies overall.

Source & Methodology:

Source	Company investor presentations, unaudited financial results and press releases for Q4 FY26 and Q1 FY27, plus one earnings-call disclosure (Shriram cost of funds). Page references and the Reported/Computed basis are recorded in the Raw_data sheet.
Method	Figures were transcribed from company disclosures and linked to the summary sheet in Excel. Where a metric was not reported, it was computed from disclosed inputs (e.g. ROA = annualised PAT ÷ average total assets) and marked as Computed. Quarter-on-quarter change is shown in percentage points, with Better/Worse direction based on whether a higher or lower value is favourable.
Limitations	Metric definitions differ across companies (Stage 3 vs GNPA, cost of funds basis, standalone vs consolidated). Two quarters show direction of change but not a long-term trend. Bajaj Finance's Q4 FY26 figures are after one-time actions; the pre-adjustment values are noted in Raw_data. Missing or non-comparable values were left blank rather than treated as zero.
Scope	Five Indian NBFCs: Bajaj Finance, Cholamandalam Investment and Finance, Shriram Finance, Muthoot Finance and Five-Star Business Finance, for Q4 FY26 and Q1 FY27.